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|---|---|
| Purchases | Buying of goods with the intention of resale is called purchases. |
| Purchases returns or returns outward | When goods bought are returned to the suppliers, it is known as purchases returns or returns outward. |
| Sales | When goods meant for resale are sold, it is called sales. |
| Sales returns or returns inward | When goods sold are returned by the customers, it is called as sales returns or returns inward. |
| Stock | Unsold goods lying in a business on a particular date are known as stock. |
| Income | It is the amount receivable or realised from sale of goods and earnings from interest, dividend, commission, etc. |
| Expense | It is the amount incurred in order to produce and sell the goods and services. |
| Solvency | Solvency is the capability of a person or an enterprise to pay the debts. |
| Insolvency | Insolvency is the incapability of a person or an enterprise to pay the debts. |
| Asset | Any physical thing or right owned that has a monetary value is called asset. |
| Liability | It refers to the financial obligation of the business. |
| Debtor | A person who receives a benefit without giving money or money's worth immediately, but liable to pay in future or in due course of time. |
| Creditor | A person who gives a benefit without receiving money or money's worth immediately but to claim in future. |
| Depreciation | It refers to the gradual reduction in the value of fixed assets due to usage and passage of time. |
| Bad debt | It is a loss to the business arising out of failure of a debtor to pay the dues. It is irrecoverable debt. |

## 1.9 Branches of Accounting




Depending on the informational needs of various users of accounting information, several branches or subfields of accounting have been developed.

The various branches of accounting are:

### (i) Financial Accounting

It involves recording of financial transactions and events. It is historical in nature and records are maintained for transactions and events which have already occurred. It provides financial information to the users for taking decisions. It is concerned with identification, recording, classifying and summarising of financial transactions